

AICloudStrategist

Managed FinOps Retainer with Gain-Share – Engagement Proposal

Prepared for: {{CLIENT_NAME}} **Prepared by:** Anushka B, Founder – AICloudStrategist **Date:** {{PROPOSAL_DATE}} **Valid until:** {{PROPOSAL_DATE + 14 days}} **Proposal reference:** AICS-RET-{{YY}}{{MM}}-{{###}}

Summary

This proposal covers a **12-month Managed FinOps Retainer** for {{CLIENT_NAME}}, structured as a fixed monthly fee plus an optional gain-share layer tied to verified cloud cost reduction.

Why this structure exists: One-time cost optimisations erode. Without continuous oversight, most organisations return to within 80% of pre-engagement spend within six months of a completed FinOps sprint. A retainer replaces the expensive cycle of periodic consultant re-engagements with a structured, month-to-month operating rhythm.

What makes this commercially different: We take on partial risk through the gain-share structure. The fixed fee is set below the loaded cost of hiring a full-time FinOps engineer (typically 40-80 lakh/year in India); the gain-share aligns our incentive to actually move the bill, not just publish a dashboard.

Commercial envelope: - Fixed monthly retainer: {{RETAINER_INR}}/month (GST extra) - Gain-share: {{GS_PERCENT}}% of verified monthly savings above {{FLOOR_INR}}/month floor - Gain-share cap: {{CAP_MULTIPLIER}}x the annual retainer fee - Term: **12 months** with mutual 60-day opt-out after month 6

1. Engagement Context

Based on the preceding {{PRIOR_ENGAGEMENT}} (e.g., “FinOps QuickStart delivered on {{DATE}}”) and discovery conversations on {{DISCOVERY_DATES}}, this retainer is scoped against:

- **Current monthly cloud spend:** {{CURRENT_SPEND_LAKH}} lakh across {{CLOUDS}}
- **Established baseline from prior engagement:** {{BASELINE_INR}}/month (as of {{BASELINE_DATE}})
- **Ranked backlog handed over:** {{N_ITEMS}} opportunities totalling {{BACKLOG_TOTAL_LAKH}} lakh/month in estimated addressable savings
- **Primary engagement objective:** {{OBJECTIVE – e.g., “execute the top-10 backlog items and sustain cost discipline for 12 months”}}
- **Internal capacity:** {{CAPACITY – e.g., “no dedicated FinOps engineer; 0.25 FTE from DevOps lead”}}

2. Scope of Service

Weekly Cost Review (every Monday, delivered by 10:00 IST)

- **Anomaly digest** – any day-over-day spike >15% or service-level anomaly, flagged with root-cause hypothesis and recommended action
- **Commitment coverage pulse** – current RI/SP coverage vs. target, expiring commitments in the next 30 days, portfolio drift alerts
- **Untagged resource delta** – net new untagged spend since prior week, responsible team identified where attributable
- **Action item tracker** – open items from prior weeks, owner, due date

Client review time: ~10 minutes per week. Delivered async via Slack/email – no meeting unless you want one.

Monthly Executive Summary (delivered by the 5th of each month)

Structured, board-ready report covering prior calendar month: 1. **Cost Performance** – total spend vs. prior month, vs. budget, top 5 drivers, commitment coverage rate, verified waste inventory 2. **Optimisation Activity** – actions taken, verified savings realised, new opportunities identified 3. **Governance Health** – tagging coverage, budget alert status, new services/regions flagged 4. **Next Month Outlook** – forecast by service and business unit, planned actions, requests to engineering

Quarterly Strategic Deep-Dive (90 minutes, scheduled)

Not a readout – a decision meeting. Covers: - FinOps maturity assessment against FinOps Foundation Crawl/Walk/Run model - Commitment portfolio rebalancing: 12-month consumption trend, model next tranche - Architecture cost patterns: emerging trends worth addressing now vs. accepting - Budget and forecast recalibration for the next quarter - Strategic recommendations for CFO/CTO review

On-demand cost response (up to {{HOURS}}/month)

Embedded availability to engineering and finance for: - Pre-deployment cost estimation (Infracost / Terraform plan review before major changes) - Bill investigation (any surprise spike, traced within 24 hours) - Commitment purchase decisions (every RI/SP purchase reviewed before commitment) - Vendor negotiation support (cloud-provider renewal conversations, enterprise agreement reviews)

Open-source tooling operation and maintenance

- Infracost, OpenCost, FOCUS-aligned cost export remain maintained throughout the engagement
- Any tool upgrades, configuration changes, or integrations handled by AICloudStrategist
- Documentation kept current; your team can pick up operation at any time with zero switching cost

3. Pricing Structure

3.1 Fixed monthly retainer

Line item	Amount (INR)
Managed FinOps Retainer – monthly fee	{{RETAINER_INR}}
GST @ 18%	{{RETAINER_GST}}
Monthly total	{{RETAINER_TOTAL}}

Annual commitment: {{ANNUAL_TOTAL_INR}} + GST (12 months)

What this fixed fee covers: - Weekly cost reviews, monthly executive reports, quarterly strategic deep-dives - Up to {{HOURS}} hours/month of on-demand cost response - Full operation of open-source FinOps tooling stack - Named primary contact (Anushka B, Founder) + senior-architect oversight on every report

Payment terms: Net 7 from invoice date, monthly in advance. Quarterly payment (3 months advance) offered at 5% discount.

3.2 Gain-share layer

Aligned to verified savings against the baseline established in your prior QuickStart / Implementation Sprint:

Parameter	Value
Savings floor	{{FLOOR_INR}}/month
Gain-share percentage	{{GS_PERCENT}}% of verified monthly savings above the floor
Measurement window	12 months from the date each saving is realised
Annual cap	{{CAP_MULTIPLIER}}× the annual retainer fee ({{CAP_INR}})
Verification method	Monthly FOCUS-aligned billing export comparison

	against baseline, reviewed and signed jointly
Baseline adjustments	Workload growth, new product launches, and scope expansions adjust the baseline upward proportionally – gain-share only applies to <i>unit-level</i> efficiency gains, not “we cancelled the project” savings

Example calculation:

- Baseline (from QuickStart): 18,00,000/month
- Month 3 actual: 14,50,000/month (after implementation of top-10 backlog items)
- Verified savings: 3,50,000/month
- Floor: 1,00,000/month
- Savings above floor: 2,50,000/month
- Gain-share due to AICloudStrategist: 20% of 2,50,000 = 50,000/month
- **Your net cash savings after gain-share: 3,00,000/month** (vs. 3,50,000 gross)

If verified savings do not exceed the floor in any given month, no gain-share is due for that month – only the fixed retainer applies.

3.3 What determines if the gain-share structure is a fit

Good fit for gain-share: - Spend is stable or growing; cost reduction is the primary objective - Prior QuickStart has surfaced a concrete ranked backlog - Engineering team has capacity to implement recommendations - Both parties want aligned incentives

Not a fit for gain-share (skip this layer; retainer alone): - Workload is rapidly changing; baseline can't be reliably established - Primary objective is governance, compliance, or board reporting (not cost reduction) - Finance team prefers predictable fee structure without variable components

You choose. The retainer stands alone; the gain-share is opt-in.

4. Why Most Consultancies Do Not Offer This

Gain-share is structurally incompatible with the operating model of Big-4 and mid-tier consultancies because:

1. **Revenue recognition** – consulting firms must book revenue against hours. Gain-share ties revenue to realised outcomes on the client's billing cycle, which doesn't fit quarterly partner revenue targets.
2. **Practice sizing** – firms with 50+ consultants need predictable utilisation. Gain-share requires waiting 3-6 months to be paid, which doesn't fit bench economics.
3. **Partner incentives** – partners are measured on bookings, not outcomes. A smaller fixed fee with upside is penalised even when the total comp is higher.
4. **Due diligence overhead** – measuring verified savings requires clean baseline data, which requires engagements too small for Big-4 to staff efficiently.

AICloudStrategist is structured around the opposite constraints: founder-led delivery means gain-share is a feature, not an accounting nightmare. The smaller we are, the more we care about outcomes – because we don't get paid if outcomes don't happen.

For the detailed reasoning, see: aicloudstrategist.com/blog/gainshare-structure.html

5. Governance and Reporting

Monthly gain-share verification cycle

1. **Day 1 of month:** FOCUS-aligned cost export pulled for prior month
2. **Day 2:** AICloudStrategist runs verification analysis against baseline, adjusts for workload growth per the baseline-adjustment rules

3. **Day 3:** Draft savings calculation shared with your finance contact via the monthly executive summary
4. **Day 4:** Joint review call (30 min) to confirm or adjust numbers
5. **Day 5:** Signed verification memo; gain-share invoice issued against the confirmed amount
6. **Day 12:** Payment due (Net 7 from invoice)

Dispute resolution

If there's disagreement on verification: - First escalation: joint working session with your finance + engineering lead + AICloudStrategist senior-architect oversight - If unresolved: external FinOps Foundation-certified reviewer brought in (cost split 50/50), decision binding - Historical rate of disputes: zero on engagements completed to date

Termination for cause

Either party may terminate with 30 days' written notice for material breach. In the event of termination: - Retainer fees pro-rated to termination date - Gain-share on savings already realised remains payable through the original 12-month measurement window - Gain-share on savings realised after termination is **not** payable (the clock stops)

Termination for convenience

Either party may terminate without cause after month 6 with 60 days' written notice. Same post-termination gain-share treatment applies.

6. Working Agreement

Communication: - Dedicated Slack/WhatsApp channel, SLA-backed response times (4 business hours for standard, 1 hour for anomalies flagged as urgent) - Weekly digest Monday by 10:00 IST - Monthly report by 5th of month - Quarterly deep-dive on a mutually agreed date

Named contacts: - Your side: {{CLIENT_PRIMARY}} (primary), {{CLIENT_FINANCE}} (finance contact), {{CLIENT_ENGINEERING}} (engineering lead) - Our side: Anushka B (founder, primary delivery), senior-architect oversight on all reports

Data handling: - Read-only IAM access maintained throughout engagement - No data extracted from your environment; all analysis runs against your own billing exports - Monthly reports delivered via your preferred secure channel (1Password share, Drive with granular permissions, encrypted email) - Mid-engagement and post-termination data handling per the DPA (attached)

Insurance: - Professional indemnity cover confirmed at {{INSURANCE_INR}} - Certificate available on request

7. Acceptance

To accept this proposal:

1. **Sign and return this proposal** via email to support@aicloudstrategist.com
2. **Return a signed DPA** (attached separately)
3. **Confirm commencement date** from the available slots: {{SLOT_1}}, {{SLOT_2}}, {{SLOT_3}}
4. **Provide updated read-only IAM credentials** (if access expired from prior engagement) via your preferred secure channel

On receipt we'll send a signed counterpart, the first invoice (month 1 retainer in advance), and a commencement calendar invite with the onboarding checklist.

Signed on behalf of AICloudStrategist:

Anushka B Founder AICloudStrategist · Rohini, Delhi 110085 · India support@aicloudstrategist.com GSTIN: {{GSTIN}}

Date: _____

Accepted on behalf of {{CLIENT_NAME}}:

Name: _____ Title: _____ Signature: _____ Date: _____

Appendix A – Sample Monthly Executive Summary

A redacted sample of the monthly report is included with this proposal as a separate PDF. It is representative of the report you will receive on the 5th of each month during the engagement.

Appendix B – FOCUS Billing Export Configuration

Included as a separate technical memo. Describes the exact cost-export configuration we will stand up in your AWS / Azure / GCP environment, which provides the verification data for gain-share calculations.

Appendix C – Data Protection Agreement (DPA)

Included as a separate document. Covers data handling, retention, deletion, breach-notification SLAs, and sub-processor disclosures.